

siggi's Icelandic Skyr

After moving from Iceland to New York City for work in 2002, Siggi Hilmarsson missed *skyr* (pronounced “skeer”)—the thick, creamy yogurt of his home. At that time, American grocery store shelves were filled with thin, runny yogurts packed with artificial ingredients and added sugars. Some contained as much sugar as an entire can of soda, or nearly two-thirds of an individual’s daily recommended sugar intake (according to USDA guidelines). Often marketed as a health product, the yogurts popular in America were anything but.

So Hilmarsson began making his own *skyr* with an ancient Icelandic recipe his mother gave him. His first attempts were disastrous, and he soon learned that he would need better temperature control than his New York City loft could offer. Hilmarsson rented out a university dairy plant in upstate New York to make his first batch of professional yogurt, not knowing whether this would be a hobby or a business venture.

After three days, Hilmarsson had 300 containers of delicious *skyr* and no room to store it all, so he began giving it away to friends. One of his friends worked at an artisanal dairy shop in Manhattan, and after she tried Hilmarsson’s *skyr*, the store asked to carry his yogurt. Hilmarsson also gave *skyr* to his former professor at Columbia, who immediately asked to invest. Before long, Hilmarsson was able to quit his day job and focus on his yogurt business.

Background

Long a cultural staple in many parts of Europe, yogurt began to boom in popularity in the United States in the early 2000s. Between 2000 and 2013, American consumption of yogurt grew by three billion pounds, an increase of over 150%. The boom was driven largely by the success of entrepreneur and Chobani founder, Hamdi Ulukaya, who helped introduce Americans to the thicker, creamier style of Greek yogurt. In 2010, Greek yogurt accounted for only about 8% of

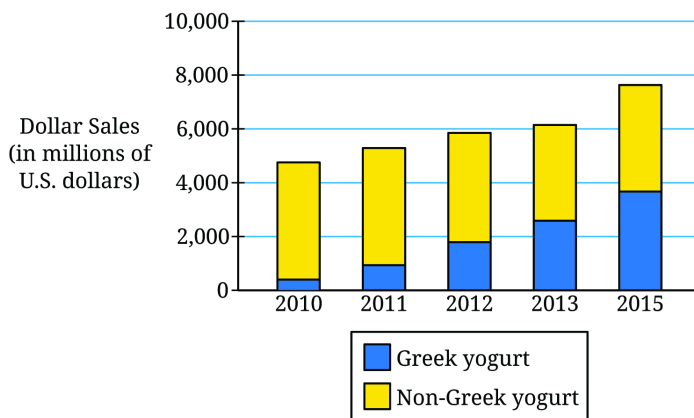


Figure 1. Growth in U.S. yogurt sales, 2010-15

all yogurt sales in the U.S. By 2015, Greek yogurt accounted for 43% of all yogurt sales. During this period, sales of non-Greek yogurt were basically flat, while sales of Greek yogurt increased by over 800% (Figure 1).

Before long, new Greek yogurt brands like Fage (pronounced “fah-yeh”) were joining Chobani. Danone, a global consumer packaged foods giant that makes Dannon yogurt in the U.S., launched new versions of Oikos, their Greek yogurt brand.

Taking siggi's to Market

Hilmarsson found himself in the right place at the right time. Americans were realizing that Greek yogurt, which tended to be high in protein and low in sugar, could be both healthy and delicious. Similarly, Icelandic *skyr*, which was four times thicker than regular yogurt, was even higher in protein than Greek yogurt and also naturally low in fat. With funding from his former professor and the encouragement of his friend (who worked at the artisanal cheese shop in Manhattan), Hilmarsson founded the Icelandic Milk and Skyr company and began selling siggi's yogurt to a handful of stores and small markets in 2006.



Figure 2. siggi's label boasts its “simple ingredient skyr”

Source: Kristi Blokhin/Shutterstock

Like most startups, siggi's began as a single product. Knowing that packaging, labeling, and branding were critical, Hilmarsson factored recyclability directly into the design of his yogurt cups—embracing his mission, “Less Sets You Free.” The label is a light cardboard piece that can be removed from the plastic, and the inside of the label tells the story of the company. The label, foil top, and plastic tub can all be recycled or disposed of separately. In this way, Hilmarsson built a brand based on simplicity, authenticity, and impact, just like the product itself (Figure 2).

siggi's Performance

By 2008, Siggi Hilmarsson had a contract with Whole Foods Market, and siggi's yogurt was selling throughout the East Coast. Demand was so strong that almost immediately the company's production capacity was exceeded. Hilmarsson was forced to shut down the factory for several months to upgrade the facilities. By 2015, with a second factory in operation, siggi's yogurt was the fastest growing brand in the U.S. with 120% growth in sales over 2014, and it was available in most major grocery chains, including Kroger, Albertson's, and Target.

Between 2013 and 2022, yogurt sales in the U.S. leveled off, though they remained strong. While big Greek yogurt brands like Chobani, Fage, and Oikos competed for highest market share, Hilmarsson had found a niche in the all-natural, artisanal yogurt market. And a valuable niche it was: In 2018, sales revenues of siggi's products were estimated around \$200 million, and in 2018, Lactalis, a Swiss Dairy company, announced it was buying siggi's for an estimated \$300

million. With this infusion of marketing and distribution support, the next year, siggi's sales were projected to reach \$500 million.

The acquisition meant more funding—and along with it the introduction of new product lines. It came at a good time. By 2019, a new breed of artisanal yogurts was experiencing success, including products such as Noosa, branded as an Australian yogurt. Kefir, a yogurt-style drink also long popular in Europe, was becoming more popular in the U.S. Consumers were increasingly interested in nondairy and plant-based options, and in response siggi's launched its first plant-based yogurt product, made with coconut milk. Other new products included four-count multipacks, lactose-free *skyr*, 4% coffee *skyr*, and "Simple Sides" single-serving *skyr* cups with flavor mix-ins such as apples, almonds, and oats. Today, the company's product portfolio consists of a variety of different types of *skyr*, including low-sugar, nonfat, and whole-milk options, as well as drinkable yogurts, yogurt pouches, and a plant-based line.

In nearly 20 years, Siggi Hilmarsson went from selling a single product from his New York City apartment to a company worth hundreds of millions of dollars that makes dozens of products, available in nearly every major grocery retailer in the U.S. "As a brand, we're always looking to improve our offerings while staying true to our simple ingredients, lower-sugar promise," Hilmarsson said.

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